



ONLINE VALUE CHAIN

More than a quarter of the world's population uses the internet for everyday activities, from shopping and banking to sharing photos and watching TV. To handle this volume, a complex value chain delivers internet services, made up of global and local firms with assets as diverse as content rights, communications and IT infrastructure, proprietary software, and global brands.

\$1.93
trillion
the internet value chain
revenue in the US, in 2008



Outbound logistics

Activities required to collect, store, and distribute the output



Marketing and sales

Activities that inform buyers, encourage purchase, and facilitate transaction



Service

Activities to keep product working effectively for buyer after it is received

Functions such as accounting, legal, finance, planning, public affairs, and quality assurance

People activities: recruiting, hiring, training, developing, compensating, and terminating

Equipment, hardware, software, procedures, and technical knowledge used in transformation of inputs into outputs

Acquisition of inputs (raw materials) for the company

PROFIT MARGIN

Profit equals the customer's willingness to pay more than the sum of all the activities in the value chain.